

SBI FUNDS MANAGEMENT

Business quality, offer structure, financial performance, valuation and decision framework

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EXECUTIVE JUDGEMENT

Category leader; valuation reasonable, offer structure neutral

Analytical verdict - POSITIVE WITH VALUATION DISCIPLINE

SBI Funds Management combines market leadership, scale economics, strong profitability and a debt-free balance sheet. At ₹574, the offer values the company at 38.16x FY26 diluted EPS, below the RHP peer composite of 41.64x but above the cheapest listed peers. The principal reservation is structural: this is entirely an offer for sale, so the company receives no fresh capital. The investment case therefore rests on future AUM growth, fee resilience and distribution strength - not balance-sheet transformation from the IPO.

₹545-574	38.16x	₹12,509.98 bn	15.3%
Price band	Cap-price P/E	MF QAAUM	MF market share

The decision in one sentence

The cap price offers exposure to India's largest AMC at a modest discount to the disclosed peer composite, but the discount is not large enough to ignore regulatory fee pressure, passive-product mix and scheme-performance risk.

What would change the view

Positive: sustained active-AUM growth, stable fee yield and continued investor additions. Negative: material redemptions, further fee compression, deterioration in scheme performance, or growth shifting disproportionately toward lower-fee passive products.

IPO REFERENCE

Key terms, event calendar and transaction intermediaries

₹545-574	26 shares	₹14,924	₹1
Price band	Minimum lot	Cap-price application	Face value

Basic issue details

Item	Official term	Item	Official term
Offer type	100% offer for sale; fresh issue nil	Listing	BSE and NSE; designated exchange: NSE
Updated offer size	Up to 170,956,631 shares	Post-offer dilution	8.39% of post-offer diluted equity
Selling shareholders	SBI: 99,501,649; Amundi India Holding: 71,454,982	Use of proceeds	No proceeds to SBI Funds Management
Cap-price value	Gross ₹9,812.91 crore before employee discount	Published offer value	Up to ₹9,795.32 crore after employee discount
Employee discount	₹54 per share	Cap-price market cap	₹116,913.905 crore
Post-offer promoters	SBI 55.44%; Amundi India Holding 32.56%	Aggregate promoter holding	88.00%

Key event dates



Registrar and book-running lead managers

Role	Appointed intermediary	Contact / relevant note
Registrar to the offer	KFin Technologies Limited	M. Murali Krishna sbifml.ipo@kfintech.com +91 40 6716 2222 / 1800 309 4001
Book-running lead managers	Kotak Mahindra Capital; Axis Capital; BofA Securities India; HSBC Securities and Capital Markets (India); ICICI Securities; Jefferies India; JM Financial; Motilal Oswal Investment Advisors; SBI Capital Markets	Nine BRLMs. SBI Capital Markets is disclosed as an associate and is involved only in marketing the offer.

The 13 July addendum contains the latest offer size and selling-shareholder quantities. The RHP and abridged prospectus provide the listing venues, intermediary appointments and fixed bid dates. Post-offer dates marked with an asterisk are indicative rather than guaranteed.

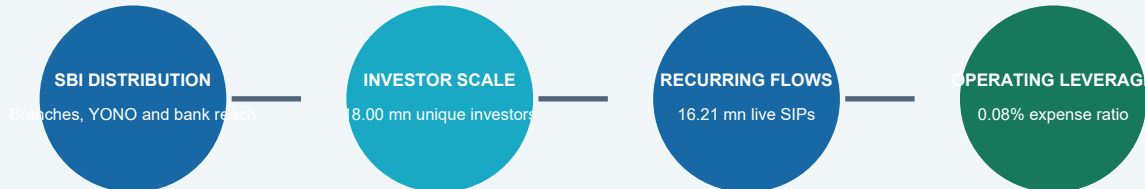
Structural assessment

Neutral. The OFS creates a public market and monetises part of the promoters' holdings, but it does not finance expansion or strengthen net worth. Investors should judge the company as an already-capitalised, cash-generative franchise.

BUSINESS AND INDUSTRY

Scale, distribution and the economics of an AMC

THE FRANCHISE ENGINE



Scale is valuable only if asset mix and regulation preserve fee yield

SBI Funds Management is India's largest AMC by mutual-fund QAAUM. As of 31 March 2026, mutual-fund QAAUM was ₹12,509.98 billion and market share was 15.3%. The company served 18.00 million unique investors through 277 branches and reported 16.21 million live SIPs. Its dual parentage combines SBI's domestic distribution and brand with Amundi's global asset-management expertise.

18.00 mn	16.21 mn	277	0.08%
Unique investors	Live SIPs	Branches	Operating expense ratio
Competitive advantage	Evidence	Why it matters	
Scale leadership	15.3% MF QAAUM share; largest Indian AMC	Fixed operating costs can be spread over a larger asset base.	
Distribution	SBI network, YONO, 132,519 institutional and individual MFDs, 122,460 IFAs, 9,964 national distributors and 95 banks	Broader reach lowers dependence on a single acquisition channel, though the SBI ecosystem remains important.	
Retail franchise	18.00 million unique investors and 16.21 million live SIPs	Recurring contributions can make flows more durable than institutional lump sums.	
Product breadth	Mutual funds, SIF, PMS, AIF and offshore advisory	Creates multiple fee pools and cross-selling opportunities.	
Cost efficiency	Lowest operating expense ratio among the top 10 AMCs: 0.08% of QAAUM in FY26	Scale supports profitability, but fee compression can still reduce revenue yield.	

Industry tailwind and economic sensitivity

Indian mutual-fund industry QAAUM expanded at an approximately 20.5% CAGR from FY21 to FY26, supported by financialisation of household savings, digital onboarding and deeper distribution. The same model is inherently market-sensitive: management fees constituted 96.47% of FY26 revenue from operations, so market declines and net redemptions can reduce revenue faster than a largely fixed operating-cost base can adjust.

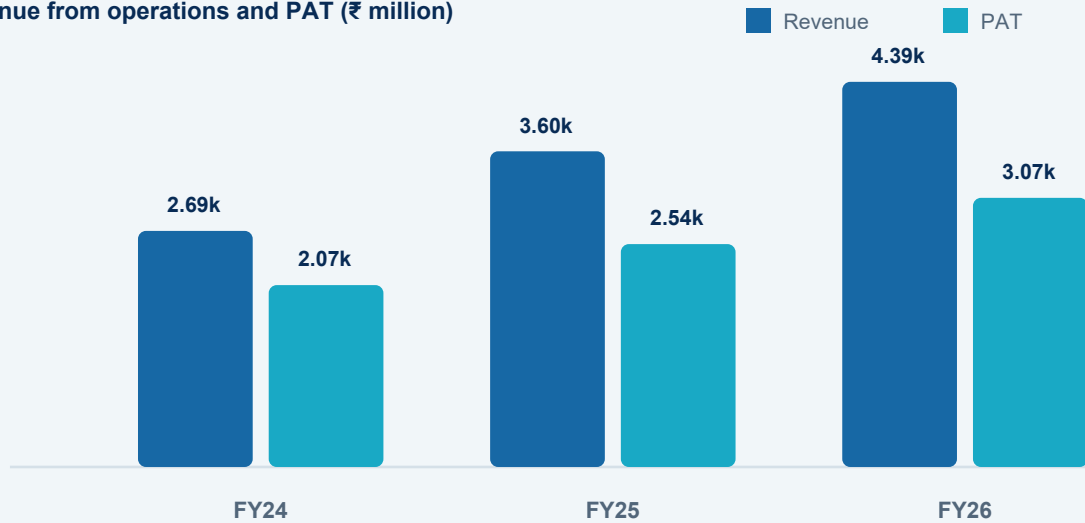
Business-quality judgement

Strong franchise quality. The key analytical variable is not whether the company can gather assets, but whether mix and regulation allow those assets to produce resilient fee revenue.

FINANCIAL ANALYSIS

Growth, profitability and quality of earnings

Revenue from operations and PAT (₹ million)



27.73%	21.65%		43.02%	Nil
FY24-FY26 revenue CAGR	FY24-FY26 PAT CAGR		FY26 RoNW	Borrowings
₹ million unless stated	FY24	FY25	FY26	FY26 YoY
Revenue from operations	26,905.58	35,977.57	43,894.88	22.01%
Profit after tax	20,727.85	25,401.54	30,673.76	20.76%
Diluted EPS (₹)	10.23	12.50	15.04	20.32%
Return on net worth	36.05%	33.77%	43.02%	+9.25 ppt
Net worth	67,477.47	82,975.33	59,630.62	-28.14%
MF QAAUM (₹ bn)	9,143.64	10,729.49	12,509.98	16.59%
Unique investors (mn)	10.96	14.67	18.00	22.70%

What the numbers say

Revenue and PAT expanded strongly, while MF QAAUM grew at a 16.97% CAGR between March 2024 and March 2026. Profitability benefited from scale and a low expense ratio. FY26 RoNW rose to 43.02%, but the increase also reflects a smaller year-end net-worth base: net cash used in financing activities was ₹54,577.94 million, primarily due to higher dividend payouts, and net worth declined despite FY26 PAT of ₹30,673.76 million.

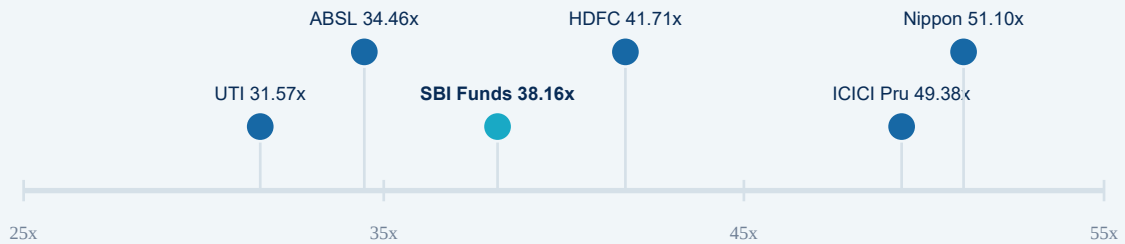
Quality-of-earnings interpretation

The company is highly cash-generative and debt-free, but headline RoNW should be read with the dividend-driven reduction in net worth. Sustainable value creation depends on fee income and asset growth, not financial leverage.

VALUATION

A category leader offered below the peer composite - but not at a distressed price

FY26 P/E at 6 July 2026 market prices; SBI Funds shown at cap price



38.16x	41.64x	31.57x	51.10x	
Cap-price P/E	Peer composite	Peer low	Peer high	
Company	FY26 P/E	Diluted EPS (₹)	RoNW	NAV/share (₹)
SBI Funds Management	38.16x at ₹574	15.04	43.02%	29.28
ICICI Prudential AMC	49.38x	66.73	85.80%	84.39
HDFC AMC	41.71x	66.50	32.90%	215.42
Nippon Life India AMC	51.10x	23.63	34.50%	73.01
Aditya Birla Sun Life AMC	34.46x	33.68	25.53%	139.94
UTI AMC	31.57x	31.41	11.22%	350.50

Mechanical peer-multiple range

Mechanical FY26 multiple case	Implied value	Upside / downside vs ₹574	Interpretation
Peer low: 31.57x	₹474.81	-17.28%	Meaningful downside if the market applies the lowest peer multiple.
Peer composite: 41.64x	₹626.27	+9.11%	Moderate re-rating if SBI Funds trades at the disclosed peer average.
Peer high: 51.10x	₹768.54	+33.89%	Requires premium positioning and sustained earnings quality.

These are not price targets. They isolate the effect of applying the RHP peer multiples to FY26 diluted EPS of ₹15.04 and do not incorporate future earnings growth.

Valuation judgement

The cap-price multiple is 8.36% below the peer composite. That discount is supportive, but the ₹574 price already assumes substantial franchise quality. The offer is reasonable rather than obviously cheap.

RISK REVIEW

The issues most likely to change earnings or the valuation multiple

HOW RISK REACHES EARNINGS



Monitor net flows, active share, fee yield, scheme rankings and cost discipline together

Risk	Official evidence	Transmission to value	Monitor
AUM and market sensitivity	96.47% of FY26 revenue from operations came from management fees	Market declines or redemptions reduce fee income while costs are partly fixed	Net flows, market movement, revenue yield
Scheme underperformance	At 31 Mar 2026, 11 schemes were bottom quartile; 12.69% of AUM was in bottom-quartile schemes	Weak performance can trigger redemptions and damage distribution momentum	Three-year rankings and net flows
Fee regulation	Base Expense Ratio framework and TER-cap reductions effective 1 Apr 2026	Direct pressure on management-fee revenue	Operating margin and fee yield
Passive mix	Passive QAAUM was ₹4,055.26 bn, 32.42% of MF QAAUM	Lower-fee products can dilute revenue yield even as AUM rises	Active versus passive QAAUM
Scheme concentration	Top 5 schemes were 42.57% and top 10 were 59.47% of MF QAAUM	A problem in a few large schemes can disproportionately affect flows	Scheme-level concentration
Sponsor / trademark dependence	Company does not own the SBI trademark; FY26 royalty was ₹506.32 mn	Loss or deterioration of the SBI relationship would impair brand and distribution	License terms and SBI-channel share
PMS mandate concentration	A major provident-fund mandate is undergoing manager review	Reallocation could reduce PMS/advisory AUM	Mandate retention and PMS QAAUM
Dividend sustainability	FY26 financing cash outflow ₹54,577.94 mn and lower net worth	High past payouts may not be repeatable	Dividend policy and capital needs

What would falsify the positive view

A combination of persistent scheme underperformance, net redemptions, active-to-passive mix deterioration and lower fee yield would break the link between AUM scale and earnings growth. A sharp rise in AUM alone would not be sufficient if revenue or profit growth materially lags it.

Risk/reward balance

The most important risk is economic rather than balance-sheet related: the company has no borrowings, but earnings remain exposed to markets, flows, fees and investment performance.

DECISION FRAMEWORK

Scenario logic and the interactive valuation model

VALUATION LANDMARKS

PEER LOW



31.57x

₹474.81

OFFER



38.16x

₹574.00

PEER COMPOSITE



41.64x

₹626.27

PEER HIGH



51.10x

₹768.54

Case	Operating path	Valuation implication	Evidence that would support it
Downside	Weak flows, fee compression and lower active mix	Multiple moves toward the 31.57x peer low	Bottom-quartile persistence, redemptions and declining fee yield
Central	MF QAAUM and PAT continue growing with manageable fee pressure	Multiple holds near the 38.16x offer level	Investor growth, stable active share and disciplined costs
Upside	Strong active flows, improved scheme performance and operating leverage	Multiple approaches the 41.64x peer composite or above	Sustained net flows, fee resilience and PAT growth matching AUM quality

How the website model works

The dashboard begins with FY26 diluted EPS of ₹15.04 and the ₹574 cap price. Users can change annual EPS growth, exit P/E and holding period. It calculates future EPS, implied value, total upside or downside, and annualised return. The model deliberately separates assumptions from reported facts: the historical charts and peer multiples remain fixed to the official documents, while the sliders represent the user's scenario.

FUTURE EPS	×	EXIT P/E	=	IMPLIED VALUE
₹15.04 × (1 + growth) ^{years}	×	User-selected multiple	=	Scenario value

Questions to answer before applying

Question	Why it matters
Is the peer discount sufficient?	The offer is below the composite but above the cheapest peers.
Will active AUM outgrow passive AUM?	Active products generally support higher fee yields.
Can investment performance improve?	Sustained underperformance threatens flows and reputation.
Does PAT grow at least in line with quality AUM?	AUM growth without earnings conversion would weaken the thesis.

Model discipline

The dashboard is a sensitivity tool, not a forecast engine. Its purpose is to show which earnings-growth and P/E combinations justify the offer price.

CONCLUSION AND SOURCES

A defensible IPO view

Final conclusion

SBI Funds Management is a high-quality, scaled and profitable franchise. The cap price of ₹574 represents 38.16x FY26 diluted EPS, below the 41.64x peer composite, while FY26 RoNW was 43.02% and borrowings were nil. The offer deserves a positive fundamental assessment, but not an unqualified one: it is a 100% OFS, fee regulation is tightening, passive products dilute yield, and scheme performance remains a live risk. The appropriate stance is positive with valuation discipline and continuous monitoring of active flows, fee yield and investment performance.

WHY THE FRANCHISE WORKS	WHAT MUST BE PROVEN AFTER LISTING
Scale: 15.3% MF QAAUM share and ₹12,509.98 bn of MF QAAUM. Reach: 18.00 mn unique investors and 16.21 mn live SIPs. Economics: 43.02% FY26 RoNW, 0.08% expense ratio and nil borrowings.	Flows: Active AUM must remain resilient. Yield: Regulation and passive mix must not overwhelm volume growth. Performance: Bottom-quartile exposure must improve. Valuation: Earnings delivery must justify 38.16x FY26 EPS.

Evidence register

Ref.	Official source	Date	Purpose
RHP	SBI Funds Management Limited Red Herring Prospectus	8 Jul 2026	Business, industry, financials, KPIs, peer comparison and risks
AP	SEBI Abridged Prospectus	8 Jul 2026	Offer summary, selected financial information and risk summary
PBA	Official Price Band Advertisement	Published before opening	₹545-574 band, 26-share lot, employee discount and valuation multiples
ADD	SEBI Addendum to RHP and Abridged Prospectus	13 Jul 2026	Pre-IPO transfers and updated offer size / promoter sale shares

Primary URLs

RHP: <https://www.sbimf.com/docs/default-source/sbi-funds/offer-documents/rhp-document.pdf>
Abridged prospectus: https://www.sebi.gov.in/sebi_data/commondocs/jul-2026/Abridged_p.pdf
Price-band advertisement: <https://www.sbimf.com/docs/default-source/sbi-funds/offer-documents/price-band-advertisement.pdf>
Addendum: https://www.sebi.gov.in/sebi_data/attachdocs/jul-2026/1783933414101.pdf

Methodology and disclaimer

All historical facts are sourced from the official documents above. Growth rates, discounts and mechanical implied values are calculations using those reported inputs. Scenario assumptions in the dashboard are user-selected and are not company guidance. This is independent educational research prepared for a professional portfolio, not investment advice or a recommendation to transact in securities.